



The core message of the recent Morgan Stanley Blue Paper, “Why We Are Bullish on China” is that Chinese equities can continue to outperform emerging-market equities in the future, as they have done for some time. Cumulative outperformance over the last 15 years for MSCI China versus MSCI EM has been 5,000 basis points, or around 3% per year. China has also outperformed emerging markets over both five and 10 years – and not by small amounts. Total returns

have averaged 5% per year in US dollar terms over those periods, and 13% per year over the last 15 years.

For us, being overweight on China equities in our recommended allocation to clients investing in the EM space is not unusual. Our structural bullishness in the 10 years I have covered China equities at Morgan Stanley is starkly different from that of the consensus amongst global investors and even EM specialist managers, who have been and remain underweight China. Indeed,